

LUX BLUEPRINT

LUXURY REAL ESTATE WHOLESALING

Double Close vs. Assignment Contract

STUDENT REFERENCE GUIDE

As a Lux Blueprint student, you have two primary strategies to close your wholesale deals: an **Assignment of Contract** or a **Double Close (Simultaneous Closing)**. Understanding both options—and knowing when to use each—is essential to running your business professionally and protecting your profit margins.

ASSIGNMENT OF CONTRACT

- You assign your purchase contract to the end buyer
- Only ONE closing takes place
- Your assignment fee is visible on the settlement statement
- Simpler process with less cost
- Best when your fee is reasonable relative to the deal size
- You never take title to the property

DOUBLE CLOSE

- TWO separate closings happen back-to-back
- You buy from the seller (A→B), then immediately sell to your buyer (B→C)
- Your profit is NOT disclosed to either party
- You briefly take title to the property
- Best for large spreads where privacy matters
- Requires paying title & escrow fees on both transactions

★ KEY ADVANTAGE OF A DOUBLE CLOSE

Neither the seller NOR the buyer can see your profit. Your fee stays completely private.

The seller only sees their sale. The buyer only sees their purchase. Your spread is invisible to both sides.

DOUBLE CLOSE: EXAMPLE DEAL WALKTHROUGH

Here is a real-world example of how a double close works from start to finish. This is the model you will use on your luxury wholesale deals.

THE DEAL

Property Under Contract (A→B): **\$1,500,000**

End Buyer Purchase Price (B→C): **\$1,700,000**

Your Gross Spread: **\$200,000**

** Your net profit is \$200,000 minus your escrow and title fees on your contract (Contract A).*

HOW IT WORKS — STEP BY STEP

- **Step 1: Lock Up the Property.** You put the property under contract with the seller at **\$1,500,000**. This is Contract A (Seller → You). You are the buyer on this contract.
- **Step 2: Find Your End Buyer.** You find a developer or end buyer willing to purchase the property at **\$1,700,000**.
- **Step 3: Send Your Buyer a Full Purchase Agreement.** You send your end buyer a standard purchase agreement with **YOU as the seller** at a purchase price of \$1,700,000. This is Contract B (You → Buyer). Your buyer has no visibility into your Contract A.
- **Step 4: Open Both Contracts with Title.** Send both contracts to your investor-friendly title company. They will coordinate the simultaneous closing.
- **Step 5: Both Closings Happen.** Contract A closes: you purchase from the seller at \$1,500,000. Contract B closes: your buyer purchases from you at \$1,700,000. Both happen at the same time (or back-to-back same day).
- **Step 6: Collect Your Spread.** Your **\$200,000 gross spread** is the difference between the two purchase prices, minus your escrow fees on Contract A. Neither the seller nor the buyer ever sees this number.

WHO PAYS CLOSING COSTS?

Contract A (Seller → You): YOU pay the title & escrow fees as the buyer

Contract B (You → Buyer): YOUR BUYER pays the title & escrow fees as the buyer

★ **ALWAYS** ask title for investor rates on your side to reduce your costs.

HOW TO TALK TO YOUR TITLE COMPANY

Not every title company handles investor transactions the same way. Before you send a deal to title, you need to confirm they can facilitate your closing strategy. Here is exactly how to approach that conversation.

WHAT TO ASK THE TITLE COMPANY

- **"Do you handle double closings or simultaneous closings?"**
This is the #1 question. Some title companies won't do them. If they say no, move on to the next company.
- **"Can the funds from the B→C transaction be used to fund the A→B transaction?"**
This determines if you need to bring your own funds or if the end buyer's funds can cover both sides.
- **"What are your fees for a double close, and do you offer investor rates?"**
Title companies that work with investors regularly will often have discounted pricing. ALWAYS ask for investor rates.
- **"Have you worked with wholesale transactions and assignment contracts before?"**
Experience matters. A title company familiar with investor deals will make your closings smoother.

IF YOUR BUYER ASKS: "WHY NOT AN ASSIGNMENT?"

If your end buyer questions why you are doing a double close instead of an assignment, here is exactly what to say:

" YOUR SCRIPT "

"We do double closings on all of our deals now. With all of the new wholesaling laws and regulations, this is how we protect ourselves legally. It also prevents any issues at the closing table—if a seller sees an assignment fee on the settlement statement, they can refuse to sign at closing. A double close eliminates that risk entirely and makes sure the deal closes smoothly for everyone involved. This is standard practice for us on every transaction."

KEY POINTS TO HIT:

- You do this on **ALL** deals — it's standard procedure, not specific to this transaction
- It protects you legally with evolving wholesaling regulations
- It prevents sellers from refusing to sign at closing if they see a fee
- It ensures a smoother closing for all parties involved

WHEN TO USE EACH STRATEGY

USE AN ASSIGNMENT WHEN:

- Your assignment fee is small relative to the purchase price and won't raise concerns
- The seller and/or end buyer are comfortable with the transparency of an assignment
- You want to minimize closing costs (only one set of title/escrow fees)
- Speed is the priority and you want the simplest path to closing

USE A DOUBLE CLOSE WHEN:

- Your spread (profit) is significant and you want to keep it confidential
- The seller or end buyer would object if they saw the size of your fee
- You are working luxury deals where large dollar spreads are common
- You want to maintain professional relationships by keeping financials private
- The end buyer is a developer who may try to go around you if they see the spread

LUX BLUEPRINT PRO TIPS

- **Build relationships with 2–3 investor-friendly title companies.** Not every title company understands double closings. Having a roster of go-to contacts saves time and headaches.
- **Always get a preliminary settlement statement (HUD) before closing.** Review every line item so there are no surprises at the closing table.
- **Factor double close costs into your deal analysis upfront.** If your spread doesn't cover the additional title and escrow fees comfortably, consider an assignment instead.
- **Ask your title company about their turnaround time.** Some companies can close both sides same-day; others need 24–48 hours between closings.
- **Keep it professional.** Whether you assign or double close, always present yourself as a serious investor. Your reputation in this business is everything.

LUX BLUEPRINT

Build Wealth Through Luxury Real Estate Wholesaling